

THE EQUITY EXPRESSION OF THE COPPER THESIS

The Stockpile in the Wrong Place

Copper set new records this month, and the easy reading is that the world has finally run short. The harder reading is that a large part of the move is about geography. A proposed American tariff on refined metal has pulled cathode into US warehouses, draining the London market, while the forecasters who count refined supply still see a small surplus this year. The question is no longer simply whether copper is scarce. It is where the scarcity sits: in the warehouse, where policy can reverse it, or in the rock, where it cannot.

A reframe worth holding onto

The internal view, carried mainly by 13D, is that the deficit lives upstream. Mine output is falling on every measure 13D cites, ore grades keep sliding, and new mines take 15 to 20 years. A refined surplus can coexist with that for a while, because smelters and stockpiles buffer the gap. On this reading, a comfortable-looking warehouse is a lagging indicator, and the binding constraint is how much rock can be dug, crushed and leached.

Internal view (13D Research, 17 Sep 2026), not a forecast.

Method. External figures (prices, inventories, company results, policy decisions) were gathered by web search on 24 September 2026 and carry their own as-of dates; where the only available report is a secondary aggregator, that is stated. Internal views come from the Heyokha Wiki's Copper theme page (last reviewed 18 September 2026) and are attributed to the named research provider. They are opinions, labelled as such.

Picture a town told on Friday that petrol will carry a new tax from Monday. By Saturday the forecourts are dry. Drivers have filled their tanks, then filled jerry cans, then stacked the cans in their garages. Anyone arriving from out of town would conclude the country has run out of fuel. It has not: there is more petrol in the town than there was a week ago. It is simply sitting where no one else can buy it. Now suppose that, at the same time, the refinery upstream really is running short of crude. The visitor sees one shortage. There are two, with different causes and different cures. The forecourt shortage ends the day the tax is settled. The crude shortage does not. Copper in September 2026 looks a good deal like that town.

THE STORY IN 60 SECONDS

\$6.85/lb

All-time high for US copper futures, set this month. The price stood at \$6.68 on 23 September, up about 40% on a year earlier. *Trading Economics, 23 Sep 2026*

676,104 t

Record copper stocks in US warehouses in late August, as buyers front-ran a possible tariff on refined imports. LME stocks were 204,975 t in mid-August. *Tech Times, 10 Sep; MINING.COM, 14 Aug 2026*

+96,000 t

The International Copper Study Group's 2026 refined-market forecast: a small surplus, reversing an earlier call for a 150,000 t deficit. *ICSG via ADM, 24 Apr 2026*

WHAT ACTUALLY HAPPENED

A record made in two places at once

The price action has two drivers, and they run on different clocks. The first is policy. Since 1 August 2025 the United States has charged a 50% tariff on semi-finished copper products such as wire, pipe and sheet, but left refined cathode exempt. A Commerce Department recommendation on refined metal was due on 30 June 2026. One option under

discussion is a 15% tariff from 1 January 2027, rising to 30% in 2028. As of 10 September the recommendation had not been published. Buyers who expect to pay more next year have been buying now, and the metal has moved: US exchange stocks reached a record 676,104 tonnes in late August, while LME stocks fell for 42 consecutive days to 204,975 tonnes by mid-August, the longest run of declines since 2014.

That policy clock produces sharp moves in both directions. The LME three-month price touched a record \$14,533 a tonne on 8 September. It pushed higher again to an intraday \$14,875 on 10 September, then reversed when a reported White House deadline passed without an announcement; US futures fell 4.7% to \$6.49 a pound in a single session (as reported by the aggregator Discovery Alert). The same report cites a Goldman Sachs fair-value estimate of about \$11,500 a tonne, implying that a large slice of the September price was a tariff premium rather than a reading of the physical balance. That estimate could not be checked against a primary Goldman document and is treated here as indicative.

The second driver is geology and weather, and it runs slowly. Chile, the largest producer, mined 403,424 tonnes in July, 9.4% less than a year earlier, after storms in the north and scheduled maintenance. Cochilco now expects a second consecutive annual decline, of 2.6% to 5.27 million tonnes. Codelco's chairman has reportedly abandoned the state miner's 1.7 million tonne target for 2030 in favour of output near 2025 levels. Antofagasta's first-half output fell 9.5%. In the Democratic Republic of Congo, the second-largest supplier, the government has ordered a halt to copper and cobalt concentrate exports; MINING.COM reported on 14 August that the order touches less than a fifth of the country's output. Ivanhoe trimmed its 2026 Kamoakakula guidance to 290,000–310,000 tonnes after strike days in the second quarter.

Against that, the refined market is not visibly short. The ICSG's April forecast put 2026 in a 96,000-tonne surplus and 2027 in a 377,000-tonne surplus, citing slower demand growth (refined usage up 1.6%) and more scrap-based secondary output. ING, by contrast, expects a deficit of about 35,000 tonnes this year. The disagreement between those two figures is smaller than the swing in a single month of Chilean output. That is the point: on the refined numbers, the market is close to balance, and the price is being set at the margin by where the metal sits.

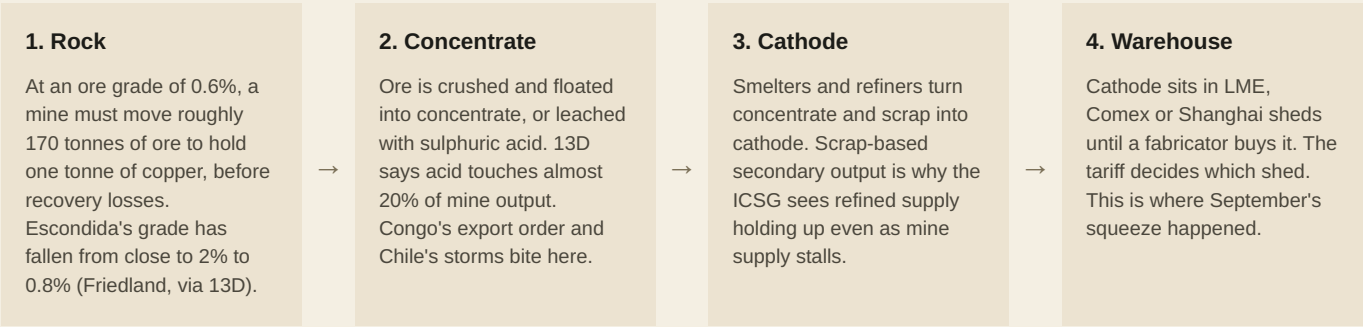
THE ESSENTIAL DISTINCTION

A *stocks-location* squeeze and a *mine-supply* deficit look identical on a price chart and behave nothing alike. The first is created by policy and can unwind in a day, as 10 September showed. The second is created by ore grades, water, acid and permitting, and takes a decade to fix. Most of the argument over copper this autumn is an argument about how much of today's price belongs to each.

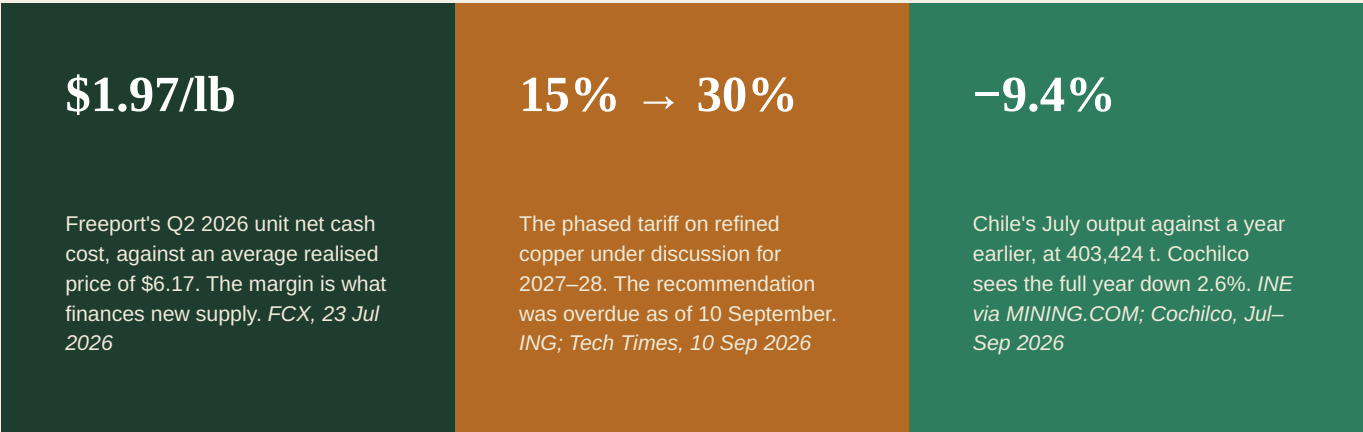
THE MECHANISM

Following one tonne from rock to warehouse

It helps to trace a single tonne of copper through the chain, because each stage has its own bottleneck and its own reporting series. The bull and bear cases often quote different stages without saying so.



The chain explains how a refined surplus and a mine deficit can both be true. Scrap and smelter drawdowns can cover a falling mine supply for a time, in the way a household can live off savings after a pay cut. The question is how long. 13D cites ICSG first-half mine output down 1.1% and Jefferies' estimate of a 3.5% fall at the large miners. Goehring & Rozencwajg reply that world mine supply still grew by about 500,000 tonnes in 2025, despite roughly a million tonnes of disruptions, and that refined supply exceeded demand by half a million tonnes in the first half of 2026 (11.6 against 11.1 million tonnes). Both sets of figures are internal views drawn from providers' letters. Neither has been independently reconciled here.

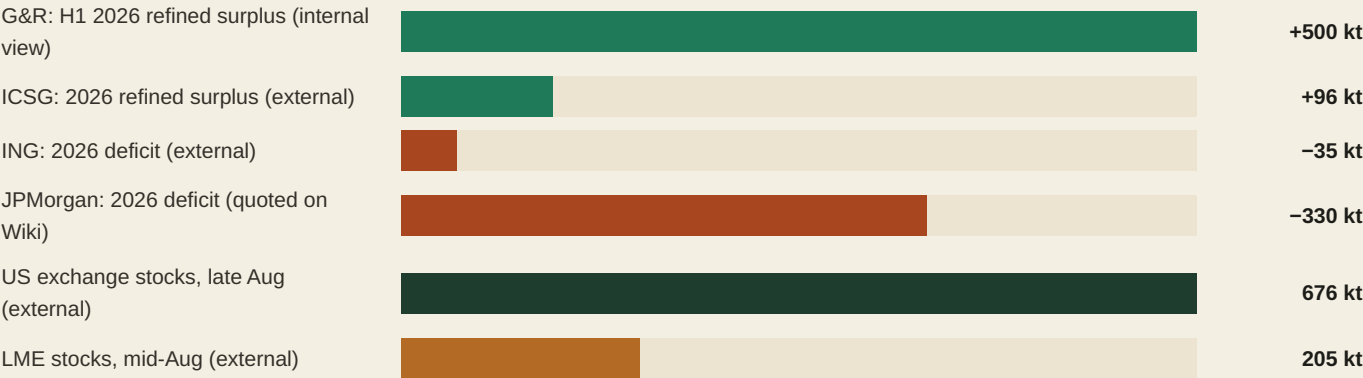


The three numbers the argument turns on: the incentive to build supply, the policy that moves stocks, and the geology that limits output. Sources as stated in each panel.

THE CENTRAL COMPARISON

How far apart the balance estimates are

Four estimates of the 2026 refined balance show the range. Two are external, two are internal views quoted on the Wiki page. The spread runs from a half-year surplus of 500,000 tonnes to a full-year deficit of 330,000 tonnes. In a market of roughly 27 million tonnes a year, that range is under 3% of consumption, which is why small operational surprises carry so much weight.



Bars are illustrative and scaled within each group (balances to 500 kt; stocks to 676 kt). The G&R figure is a half-year number and not strictly comparable with the full-year estimates. JPMorgan's figure is as quoted on the Wiki copper page from 13D and CLSA material and was not independently verified. The consumption base of roughly 27 Mt is an approximation used only for scale. Sources: ICSG via ADM (24 Apr 2026); ING THINK (2026); Tech Times (10 Sep 2026); MINING.COM (14 Aug 2026); G&R Q2 2026 letter (28 Aug 2026).

A USEFUL MENTAL MODEL

Think of the refined balance as the *current account* and the mine pipeline as the *capital stock*. A country can run a small current-account surplus for years while its capital stock quietly erodes. The surplus is real, and so is the erosion. The copper bulls are describing the capital stock; the ICSG and G&R are describing the current account. Each is right about the thing it measures.

WHAT HAS ACTUALLY SHIFTED

Six changes, each with two edges

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
Where the metal sits	US stocks at a record 676,104 t (late Aug); LME down 42 days in a row to 204,975 t (mid-Aug).	Outside the US the market feels tight, which supports prices. But the metal exists; if the tariff is shelved, some of it can flow back.
The tariff clock	Refined-copper recommendation overdue since 30 Jun; prices fell 4.7% on 10 Sep when a deadline passed.	A tariff confirms the US premium and keeps stocks locked up. A delay or rejection could deflate the premium that Goldman reportedly puts near \$2,800/t.
Chilean supply	July output -9.4% y/y; Cochilco full-year -2.6%; Codelco reportedly flat near 1.33 Mt.	Supports the upstream-deficit case. Part of July's fall was weather and maintenance, which recur but do not compound.
Producer margins	Southern Copper's Q2 cash cost was \$0.05/lb net of by-products; Freeport's \$1.97/lb against \$6.17 realised.	Record cash flow funds dividends. It also funds the new supply the bears expect: Tía María, Grasberg's return, Freeport's leach programme.
US monetary policy	The Fed raised rates by 25bp to 3.75%–4.00% on 16 Sep, its first increase since 2023.	Tighter money weighs on cyclical demand and can lift the dollar. 13D argues any move to cap yields would weaken the dollar and help commodities.
China's grid	State Grid's H1 fixed-asset investment exceeded 310bn yuan, up 12.6% (Xinhua, 24 Jul).	Grid spending is the demand leg 13D calls less cyclical. G&R counter that China's copper consumption growth turned negative early in 2026.

Bull and bear, stated fairly

The bull case	The bear case
• Mine supply is falling, not merely slowing. Chile is on course for a second annual decline; 13D cites ICSG first-half mine output down 1.1% and Jefferies' estimate of -3.5% for the large miners (internal view, 17 Sep). • The pipeline cannot respond quickly. 13D puts new-mine lead times at 15–20 years; Southern Copper's Tía María, 42% built at end-June, is not expected to produce until the second half of 2027. • Grid demand is structural. 13D argues China's transmission grid must roughly double in five years and that State Grid is 15–20% of global demand; State Grid's H1 spending rose 12.6%. • Resource nationalism is removing supply. Congo's concentrate-export order and Codelco's abandoned growth target reduce the tonnes that high prices would normally summon. • Producers are showing the operating leverage. Southern Copper's Q2 net income rose 71.6% to a record \$1.67bn; Rio's first-half underlying EBITDA rose 28% to \$14.8bn.	• The refined market is in surplus. The ICSG forecasts +96,000 t for 2026 and +377,000 t for 2027, on slower demand and more scrap supply. • Part of the price is policy, not scarcity. The 10 September reversal showed how much rests on an unannounced tariff; Goldman's reported fair value of about \$11,500/t sits well below the peak. • Visible stocks are high in total. G&R say combined exchange stocks rose about sevenfold since 2024 to 1.3 Mt, about 18 days of use, a level last exceeded in the early 2000s (internal view, 28 Aug). • Supply is responding. Freeport expects Grasberg at about 65% in the second half, 80% by mid-2027 and near full capacity by end-2027; its leach output is targeted to rise from 200m lb a year. • China's demand is soft. G&R put 2025 Chinese demand growth at about 0.4% and early-2026 consumption down about 5% y/y (internal view, 19 May).

A note on sourcing. The Wiki page's standing bear section is three short, generic paragraphs (recession, substitution, a new-mine wave). The specific bear case above was built from the page's dated Goehring & Rozencwajg entries, from external reporting (ICSG, the 10 September price reversal, the Fed) and from supply-response details in the companies' own results.

WHERE THE VIEWS DIVERGE

The sharpest conflict is between the internal bull view and the external refined data. 13D's 17 September issue treats falling mine output as evidence of a deficit that is already binding, and sets a fundamental range of \$8–12 a pound before the end of the decade. The ICSG's published forecast, the only full-year balance from an official body gathered for this edition, says the refined market is in surplus this year and next. Inside the Wiki itself, G&R side with the surplus reading and say "the easy money has been made", while CLSA's producer feedback describes tightening supply. There is a second, quieter conflict over valuation: 13D's chart work points Freeport towards the \$100 area, while Freeport closed at \$72.58 on 23 September, a hair below the \$72.59 average analyst target reported by StockAnalysis. This edition does not resolve either conflict. The timing of the ICSG's next forecast and the US tariff decision will do more to settle them than any argument here.

WHAT TO WATCH FROM HERE

A dashboard for the next test

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
US refined-copper tariff decision	Whether cathode imports face 15% from January 2027, or nothing.	Decides whether the US premium and the locked-up stocks persist or unwind.
Comex–LME spread	The price gap between New York and London copper.	The cleanest live measure of how much of the price is tariff premium. ING put it near \$400/t in early June.
LME stocks and cancelled warrants	How much metal is left in London sheds, and how much is booked to leave.	Falling LME stocks with rising US stocks means relocation; falling stocks everywhere would mean real tightness.
ICSG's next balance forecast	The Study Group's update to its 96 kt surplus call.	A switch to deficit would align the official data with the upstream view.

Grasberg ramp-up in Freeport's Q3 results	Whether the mine reaches the planned ~65% rate.	The largest single swing in 2026–27 supply; a miss supports the bulls, a beat the bears.
Chile's monthly output (INE)	Whether July's –9.4% was weather or trend.	Chile is the world's largest producer; two more weak months would test Cochilco's –2.6% estimate.

THREE POSTURES, NOT ONE ANSWER

Own the cost curve

Favour producers whose by-products push unit costs towards zero, so profits hold even if the tariff premium deflates. **The cost:** these are the most crowded names; Freeport already trades at its consensus target, and operational setbacks such as Grasberg's 2025 mud rush fall straight to earnings.

Own the pipeline

Express the upstream-deficit view through ramp-ups and brownfield growth, where new tonnes arrive into a tight market. **The cost:** execution and jurisdiction risk, from Congo's export order to strike days at Kamoa-Kakula, and the risk that the new tonnes are exactly what turns the balance into surplus.

Wait for the policy fog to clear

Treat the September price as partly tariff premium, and wait for the refined-copper decision and the next ICSG forecast. **The cost:** if 13D's mine-supply reading is right, the premium may be replaced by a scarcity price rather than removed, and the entry point may not return.

The companies below are illustrative names chosen to show how the theme reaches listed equities. They are NOT recommendations, and inclusion implies no view on price or suitability.

FCX

Freeport-McMoRan (NYSE)

\$72.58 close
23 Sep 2026

The largest listed copper pure-play by most measures. Q2 2026 production was 786m lb at a unit net cash cost of \$1.97/lb against a realised \$6.17; 2026 sales guidance is about 3.1bn lb. The 52-week range, \$35.15–80.24, shows how far the shares have already travelled. 13D's chart target is the \$100 area (internal view).

WATCH NEXT

Whether Grasberg reaches the planned ~65% operating rate in the second half.

SCCO

Southern Copper (NYSE)

Q2 net income \$1.67bn
21 Jul 2026

Record Q2 net income, up 71.6%, on sales of \$4.29bn. By-product credits cut the cash cost to \$0.05/lb net, from \$0.63 a year earlier. Yet copper output fell 3.5% to 230,662 t as Peruvian operations dropped 12%: a clean example of price doing the work while volume slips.

WATCH NEXT

Tía María's progress from 42% complete towards first output in H2 2027.

RIO

Rio Tinto (LSE / ASX)

H1 EBITDA \$14.8bn
29 Jul 2026

A diversified miner increasingly defined by copper. First-half underlying EBITDA rose 28% and free cash flow 75%. CLSA's view, quoted on the Wiki, is that copper EBITDA rose 84% to \$5.7bn with negative C1 costs at Oyu Tolgoi; that detail comes from the provider and was not separately verified.

WATCH NEXT

Oyu Tolgoi's underground ramp towards the ~500 ktpa rate CLSA cites for 2028–36.

IVN

Ivanhoe Mines (TSX)

2026 guide 290–310 kt
25 Aug 2026

Operator of Kamoa-Kakula in the DRC, one of the few large new mines of the past decade. Guidance was narrowed from 290–330 kt after industrial action cost nine mining days at Kakula; first-half output was about 135,700 t. Its exposure to Congo's export policy makes it a live test of the resource-nationalism argument.

WATCH NEXT

Any Congo waivers or tax changes affecting concentrate exports.

ANTO

Antofagasta (LSE)

H1 output -9.5%
Jul 2026

Chile's largest private copper producer, and therefore a direct read on the grade and weather problems in the country that supplies roughly a quarter of the world. A 9.5% first-half fall in output (as reported by The Rio Times) is consistent with a sector-wide rather than a company-specific problem.

WATCH NEXT

Whether second-half volumes recover once winter weather passes.

AT

Atlas Consolidated Mining (PSE)

CLSA TP P46 (view)
21 Aug 2026

The Philippines' largest copper producer. CLSA initiated at Outperform with a P46 target against P13.62, citing a stripping plan completing in 3Q26 and output doubling over three years. These are the provider's figures, quoted on the Wiki, and were not independently verified for this edition.

WATCH NEXT

Confirmation that the Toledo pit-widening programme finishes on schedule.

The bottom line

What was repriced in September was not only copper's scarcity but its location. A proposed US tariff moved several hundred thousand tonnes of cathode into American warehouses, emptied London's sheds and put a policy premium on top of the price. The 10 September reversal showed that premium can shrink in a session.

The evidence underneath is mixed. Mine supply is weakening in Chile and the Congo, and producers are earning record margins, while the official refined balance still shows a small surplus and China's demand is soft by some internal accounts. The reasonable inference is that both a tariff premium and a slow-building upstream shortfall are in the price, in proportions no one can yet measure. The next test is the US refined-copper decision: if the premium disappears and prices hold, the upstream case gains weight; if prices fall back towards the fair-value estimates, the surplus camp does.

Editorial note. This Field Guide is educational commentary prepared for internal use. It is not investment advice and makes no recommendation to buy, sell or hold any security. Named companies are illustrative only. External figures are dated and attributed; some come from secondary aggregators and are flagged as such. Internal Wiki views are the opinions of the named research providers, labelled as views rather than forecasts. Where internal and external views conflict, the conflict is stated, not resolved.

Sources and update notes

(a) Internal. Heyokha Wiki theme page *Copper* (slug: copper; created 23 Jun 2026; last reviewed 18 Sep 2026; about 9,600 words), sections used: Thesis; the three standing bear-case subsections; the days-of-usage inventory note; August 2026 Friedland and Bernstein entry; August 2026 G&R surplus entry; 21 Aug 2026 CLSA entry; 6 Sep 2026 COPX/FCX entry; May–September 2026 three-voices entry; 17 Sep 2026 price-target entry. Provider issues relied on: 13D WILTW, 17 Sep 2026 (copper in the catbird seat; \$8–12/lb range; BNEF 9–10 Mt shortfall; China grid; CEPR inflation link; COPX \$85.07; Copper Index -11.0% in the same week as a 6.8% HCI fall); 13D WILTW, 10 Sep 2026 (sulphuric-acid overlay); 13D WATMTU, 6 Sep 2026 (FCX \$100 target); 13D WILTW, 11 Jul 2024 (days-of-usage framing); CLSA Bits & Pieces, 11 Sep 2026 (producer calls), 21 Aug 2026 (Balanco US\$16,200–16,300/t target; Rio Tinto and Atlas Mining) and 14 Aug 2026 (Friedland, Bernstein); Goehring & Rozenccwajg natural-resource commentaries of 28 Aug 2026 (Q2) and 19 May 2026 (Q1).

(b) Limitation on the internal view. The Copper page is heavily concentrated in one provider. Of the 41 sources listed in its frontmatter, 38 are 13D Research issues (WILTW and WATMTU, 2022–2026); the remainder are two CLSA issues and one G&R letter, with a further CLSA and G&R issue cited in the body. White Box, Greed & Fear, Solid Ground, Marc Faber, HS Dent and Gary Shilling do not feed this page. The page's bull case therefore largely reflects a single house view built up over four years, and its standing bear section is thin. The most substantive challenge comes from G&R, itself a commodity-bullish firm.

(c) External sources. 1. Trading Economics, copper summary, 23 Sep 2026: \$6.68/lb, -1.19% on the day, +40.54% y/y; all-time high \$6.85/lb in Sep 2026; Commerce proposal of 15% from Jan 2027 rising to 30% by 2028. 2. Tech Times, 10 Sep 2026: 50% tariff on semi-finished products since 1 Aug 2025; refined recommendation due 30 Jun 2026 and unreleased; US warehouse stocks 676,104 t (late Aug); Comex record \$14,781/t on 5 Aug 2026. 3. MINING.COM, 14 Aug 2026: LME stocks 204,975 t after 42 consecutive days of declines; Congo order touching less than a fifth of output. 4. South China Morning Post, 8 Sep 2026: LME three-month intraday record \$14,533/t, close \$14,510/t. 5. Discovery Alert (aggregator), Sep 2026: LME intraday \$14,875/t on 10 Sep; Comex -4.7% to \$6.49/lb; Goldman Sachs fair value about \$11,500/t (secondary, unverified against primary). 6. ADM Investor Services on ICSG,

24 Apr 2026: 2026 surplus 96 kt (from 150 kt deficit); 2027 surplus 377 kt; refined usage +1.6%; refined output +0.4%. 7. ING THINK, 2026: 2026 deficit about 35 kt; Comex–LME spread about \$400/t in early June. 8. Freeport-McMoRan Q2 2026 release (SEC exhibit 99.1), 23 Jul 2026: production 786m lb; sales 710m lb; realised \$6.17/lb; unit net cash cost \$1.97/lb; net income \$984m; 2026 sales about 3.1bn lb; Grasberg ~65% H2 2026, 80% mid-2027, near full by end-2027. 9. StockAnalysis, 23 Sep 2026: FCX close \$72.58 (–2.38%); 52-week range \$35.15–80.24; average target \$72.59. 10. Southern Copper Q2 2026 release (SEC exhibit 99.1), 21 Jul 2026: net sales \$4,289.0m; net income \$1,670.0m (+71.6%); copper output 230,662 t (–3.5%); cash cost \$0.05/lb net of by-products; Tía María 42% complete, output from H2 2027. 11. Rio Tinto half-year results, 29 Jul 2026: underlying EBITDA \$14.8bn (+28%); free cash flow \$3.8bn (+75%); copper-equivalent production +3%. 12. Ivanhoe Mines via SMM, 25 Aug 2026: Kamoakakula 2026 guidance 290–310 kt (from 290–330 kt); H1 about 135,700 t. 13. INE via MINING.COM, Aug 2026: Chile July output 403,424 t (–9.4% y/y). 14. Discovery Alert (aggregator), Sep 2026: Cochilco 2026 estimate 5.27 Mt (–2.6%); Codelco 1.7 Mt 2030 target dropped, output near 1.33 Mt. 15. The Rio Times, 2026: Antofagasta H1 output –9.5%. 16. Mining Weekly (Reuters), 6 Aug 2026: DRC order prohibiting copper and cobalt concentrate exports. 17. Xinhua, 24 Jul 2026: State Grid H1 fixed-asset investment above 310bn yuan (+12.6%). 18. Advisor Perspectives, 16 Sep 2026: FOMC raised the target range by 25bp to 3.75%–4.00%, 12–0, first increase since 2023.

(d) Editorial choices in this automated run. The topic was chosen by scoring every entity in the 16 Wiki source summaries published between 3 and 18 September 2026 (2 points within seven days, 1 point within 21 days, plus 3 when named in a title; no source fell inside the three-day window, the newest being 18 September). Copper scored 9, helped by the title of 13D's 17 September WILTW. Five higher-scoring themes were on the 30-day cooldown: Gold (16; edition of 26 Aug), AI Capex (12; 8 Sep), Critical Minerals (10; 21 Sep), China Equities (10; 22 Sep) and Oil & Gas (10; 21 Sep). Iran War and Food Security (8 each) were also treated as on cooldown, the latter by judgement because of the 31 Aug Grain Supply Shock edition. The archive folder was read in full through the desktop bridge (45 editions, in both the older dash-separated and the current two-space naming formats); the last Copper edition was 19 Aug 2026, 36 days ago, so Copper was eligible. The Wiki's theme list exceeded the tool's output limit and was parsed from disk. Two external pages could not be fetched (CNBC's Fed story, which returned 403, and a SASAC release on State Grid's five-year plan, which timed out); an alternative source was used for the Fed and the five-year figure was dropped. Several figures rest on aggregators and are flagged in (c).

Prepared 24 September 2026 · Heyokha Brothers Market Field Guide · Commentary, not investment advice.